



Contractual and Legal Agreements Framework

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Overview

The Affordable Housing Programme operates through a **structured framework of legal agreements** that govern the relationship between the **Government of Kenya** and developers, private investors, or contractors.

Key Agreements

 Commitment Agreement

Purpose
Governs the use of the commitment fee pending negotiations and signing of the Project Agreement

Key Provision

Requires a **commitment fee of up to 10%** of the project cost to be deposited by the developer into a designated **escrow account**

Restriction

SDHUD or NHC will **not** use the commitment fee until the **Housing Fund is operationalized**

 Development Framework Agreement

Purpose Provides a guideline of fundamental **heads of terms** for the Project Agreement

Function

Works as an **"interim Agreement"** for urgent works to commence pending final negotiations

 Project Agreement

Purpose

Governs the relationship between the **GoK** and the developer, private investor, or contractor

Scope

Sets out in detail the **terms and conditions** for the development and delivery of each Project

 Offtake Agreement

Purpose Issued by the GoK as an **undertaking** for the purchase of completed housing units

Timeline Within a **specified period** from the date of construction completion

Benefit Provides the developer with **certainty** as to quantities and prices paid

 Letter of Support

Purpose Issued by GoK through the **National Treasury** to demonstrate support for the Project

Assurance

Provides that the GoK will ensure the Housing Fund is **not wound up** while it has outstanding obligations

Limitation Only issued in **appropriate circumstances**

 Joint Venture (JV) Structure

Cooperation Model

GoK, through **NHC or SDHUD**, enters into a Project Agreement with the developer

Special Purpose Vehicle (SPV) Established jointly by the successful developer and the GoK

Profit Sharing Subject to terms determined and agreed by **NHC and SDHUD**

Land Swap Policy

Land swaps allow for land to be traded or exchanged by land owners for the benefit of advancing housing projects.

Types of Land Swaps

Type A

GoK or County Government swaps an owned site with a **private land owner** for land in a desired location

Type B

GoK or County Government swaps an owned site for a **number of housing units** in a privately-owned development

Type C

GoK or County Government swaps land with **another state-owned entity**

Type D

Existing land owner does not want to sell but is open to a land swap for the **negotiated fair market value**

Risk Allocation Policy

Risk	Preferred Allocation
Site Risk	Private sector
Design Risk	Shared between GoK and Private Sector
Construction and Commissioning Risk	Private sector
Financial Risk	Private sector
Operations and Maintenance Risk	Private sector
Demand Risk	GoK
Regulatory Risk	GoK
Force Majeure Risk	Shared between GoK and Private Sector
Right of Way / Land Acquisition Risk	GoK
Inflation and Foreign Exchange Risk	Shared between GoK and Private Sector
Insolvency Risk	Private sector
Subcontractor Risk	Private sector
Interface Risk	Shared between GoK and Private Sector

Development Split Policy

Detail	Description
Target Split	70% - 30% in favour of affordable housing
Review	Subject to review by SDHUD on a project-by-project basis

Development Returns

Detail	Description
Return Hurdle	Developer achieves a maximum project rate of return agreed on a project-by-project basis

Detail	Description
Excess Returns	Where land contribution has been made by GoK, returns above the hurdle are allocated based on a pre-agreed split

Development Considerations

Development Timeline

Each developer shall deliver the defined number of affordable housing units within a **specific period of time**, subject to assessment on a **project-by-project** basis.

Off-site Infrastructure

Infrastructure provision and/or upgrades **external to the sites** will be provided by **GoK**.

Facilitations for Approvals

GoK will facilitate a schedule of **approvals** and **No Objection Certificates (NOCs)** on behalf of the developer.

Project Parties

 NHC or SDHUD Contracting authority	 Developer Project execution
 Financier	 Land Owner

Commitment Fee & Due Diligence

Item	Description
Commitment Fee	Each developer shall make a commitment of up to 10% of the Project Cost
Due Diligence	Due diligence will be conducted on any developer to ensure they have the technical, legal, and financial capacity to undertake the Project

Quick Summary – Contractual Framework

Key Agreements: Commitment, Development Framework, Project, Offtake, Letter of Support, JV Structure

Land Swaps: Types A, B, C, D | **Development Split:** 70% – 30% (affordable housing)

Commitment Fee: Up to 10% of Project Cost

Key Takeaways

- **Commitment Agreement** – up to 10% fee in escrow
- **Offtake Agreement** – GoK undertaking to purchase completed units
- **Risk Allocation** – Private sector bears construction, financial, operations; GoK bears demand, regulatory, land acquisition
- **Joint Venture** – SPV established by developer and GoK
- **Due Diligence** – Required for all developers

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Prepared by the State Department for Housing and Urban Development, Kenya
For more information, visit the **Boma Yangu** portal.